Economics - Graduate Level Assessment 14 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. Scarcity is best defined as
   (a) the opportunity cost of not pursuing a given course of action.
   (b) the difference between unlimited wants and limited economic resources.
   (c) the difference between unlimited resources and unlimited economic wants.
   (d) the opportunity cost of pursuing a given course of action.
   (e) the difference between the total benefit of an action and the total cost of that action.

2. Suppose real GDP increases. We can conclude without a doubt that
   (a) the average wage is higher.
   (b) the national debt is lower.
   (c) production is higher.
   (d) prices are higher.
   (e) employment is higher.

3. Labor productivity and economic growth increase if
   (a) a nation discourages investment in technology.
   (b) a nation decreases spending on public services.
   (c) a nation ignores societal barriers like discrimination.
   (d) a nation promotes monopolies in industry.
   (e) a nation imposes tariffs and quotas on imported goods.

4. The fixed effects panel model is also sometimes known as
   (a) The pooled cross-sectional model
   (b) The random effects model
   (c) The fixed variable regression model
   (d) The instrumental variables regression model
   (e) The generalized least squares approach

5. If the standard of living increases we can conclude that
   (a) output must have increased proportionally more than population.
   (b) the cost of living and population must have increased.
   (c) the cost of living must have decreased.
   (d) population must have decreased.
   (e) output and population must have increased.

True / False (10 marks)

Answer True or False

6. True or False: A natural monopoly produces allocatively efficient output when average total cost is greater than marginal cost.

7. True or False: The slope of the consumption function is equal to the marginal propensity to save (MPS).

8. True or False: The bank's actual reserves are $50,000, reflecting only the excess reserves without considering the required reserves.

9. True or False: In a stationary autoregressive process, shocks will never occur, indicating the absence of unexpected disturbances in the system.

10. True or False: An increase in checking deposits leads to a rise in excess reserves within the banking system.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the potential impact of contractionary fiscal policy in the United States on domestic interest rates and the international value of the dollar, providing a thorough analysis of the mechanisms involved.

12. Discuss the characteristics of pure public goods, specifically addressing the implications of zero marginal cost for providing additional units to citizens.

End of Paper